



DEFENSE HEALTH AGENCY
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Determination and Finding
Consolidation of Contract Requirements for Clinical Chemistry Analyzers
within the Defense Health Agency Contracting Activity
Healthcare Contracting Division – West Area of Responsibility

1. Agency/Contracting Activity: The Defense Health Agency (DHA) Contracting Activity (DHACA), Healthcare Contracting Division – West (HCD-W) San Diego, California

2. Nature and/or Description of Action being Approved: In accordance with 15 United States Code (U.S.C.) § 657q, this determination and finding (D&F) justifies the consolidation of clinical chemistry analyzer requirements for twenty-four (24) military treatment facilities (MTFs) within the DHACA HCD-W area of responsibility (AOR) into two (2) to three (3)* consolidated single-award delivery orders utilizing the Department of Veterans Affairs (VA) Federal Supply Schedule (FSS) Group 66, Part III (66-III) contracts under category 605-1A for high maintenance/complexity clinical chemistry analyzers. The delivery orders will be consolidated based on MTF requirements as follows:

- MTFs requiring wet chemistry analyzers with automation
- MTFs requiring wet chemistry analyzers without automation
- MTFs requiring dry chemistry analyzers

* Note: The wet chemistry analyzer requirements will be procured under a single solicitation. After evaluation of the quotes received, a best value determination will be made to determine if it is in the Government's best interest to award a single delivery order for wet chemistry analyzers (with both automation and without automation) when the awardee is the same vendor or to award two (2) separate delivery orders for wet chemistry analyzers (one (1) with automation and one (1) without automation) when the awardees are from two different vendors.

FINDINGS

3. Background and Course of Action: DHACA, HCD-W is responsible for providing contracting support for clinical chemistry analyzer equipment and supplies for MTFs in five (5) Defense Health Networks: Pacific Rim, Indo-Pacific, Continental, Central, and West. Historically, clinical chemistry analyzers, reagents, consumables, and maintenance services of the analyzers have been provided to each MTF individually through a variety of contract means, including purchase orders, task orders, and delivery orders.

There are currently twenty-one (21) separate contract actions in place for chemistry analyzer requirements within the HCD-W AOR as shown in the tables below, requiring significant contract administration at the MTF level and by multiple HCD-W contracting offices.

WET CHEMISTRY ANALYZERS – WITH AUTOMATION

MTF	Current Contract #	Ultimate Expiring Date	Current Vendor
60 th Medical Group, David Grant Medical Center, Travis AFB, CA	HT941025FE038	9/26/2026	Abbott Laboratories, Inc.
Naval Medical Center San Diego, CA	N6264521F0151	7/31/2026	Abbott Laboratories, Inc.
Madigan Army Medical Center, Joint Base Lewis-McChord, WA	W81K0225DA021	9/30/2028	Roche Diagnostics Corporation
Tripler Army Medical Center, Fort Shafter, HI	W81K0222P0104	9/30/2027	Roche Diagnostics Corporation
Naval Hospital Camp Pendleton, CA	HT941024F0116	5/14/2026	Roche Diagnostics Corporation
673 rd Medical Group, Joint Base Elmendorf-Richardson (JBER), AK	FA500024A0001	10/10/2028	Siemens Healthcare Diagnostics, Inc.
99 th Medical Group, Mike O'Callaghan Military Medical Center, Nellis AFB, NV	FA486121C0027	9/14/2026	Siemens Healthcare Diagnostics, Inc.

WET CHEMISTRY ANALYZERS – WITHOUT AUTOMATION

MTF	Current Contract #	Ultimate Expiring Date	Current Vendor
Raymond W Bliss Army Health Center, Fort Huachuca, AZ	W81K0024P0041	9/30/2030	Abbott Laboratories, Inc.
Naval Health Clinic Lemoore, CA	HT941024P0248	9/30/2029	Beckman Coulter, Inc.
Naval Health Clinic Oak Harbor, WA	HT941024P0135	4/17/2029	QuidelOrtho Sales Company, LLC
30 th Medical Group, Vandenberg SFB, CA	FA461022F0017	3/31/2027	QuidelOrtho Sales Company, LLC
61 st Medical Squadron, Los Angeles AFB, CA	FA281622P0008	9/30/2026	QuidelOrtho Sales Company, LLC
Naval Health Clinic Hawaii, HI – Makalapa Lab	HT941023P0215	9/30/2028	Roche Diagnostics Corporation
Naval Health Clinic Hawaii, HI – Kaneohe Bay Lab	HT941023P0215	9/30/2028	Roche Diagnostics Corporation
Bassett Army Community Hospital, Fort Wainwright, AK	W81K0225AA018	3/31/2027	Roche Diagnostics Corporation
Naval Hospital Bremerton, WA	HT941024F0116	5/14/2026	Roche Diagnostics Corporation
354 th Medical Group, Eielson AFB, AK	FA500421P0064	9/23/2026	Siemens Healthcare Diagnostics, Inc.

DRY CHEMISTRY ANALYZERS

MTF	Current Contract #	Ultimate Expiring Date	Current Vendor
9 th Medical Group, Beale AFB, CA	HT941024F0108	9/14/2029	QuidelOrtho Sales Company, LLC
Robert E. Bush Naval Hospital Twentynine Palms, CA	HT941023F0161	10/6/2028	QuidelOrtho Sales Company, LLC
Weed Army Community Hospital, Fort Irwin, CA	W81K0024P0188	9/30/2028	QuidelOrtho Sales Company, LLC
56 th Medical Group, Luke AFB, AZ	FA488723A0004	1/31/2028	QuidelOrtho Sales Company, LLC
412 th Medical Group, Edwards AFB, CA	HT941024F0108	9/14/2027	QuidelOrtho Sales Company, LLC
92 nd Medical Group, Fairchild AFB, WA	HT941022F0005	6/30/2027	QuidelOrtho Sales Company, LLC
355 th Medical Group, Davis-Monthan AFB, AZ	FA487722A0001	9/30/2026	QuidelOrtho Sales Company, LLC

Under the individually awarded contract actions above, the MTFs have experienced issues related to differences in the various statements of work, contract structure, pricing arrangement (CPRR vs cost per test), and administration, which has led to complicated oversight requirements and errors in invoicing.

To resolve these issues, DHA has been researching the best path for consolidating like requirements gathered across the various Military Departments (MILDEPs) into segmented acquisitions capable of providing clinical chemistry analyzers and delivery of reagents and consumables, based on analyzer type and geographic location. The proposed consolidated strategic sourcing strategy will enable DHA to implement standardized requirements and business practices across the various MILDEPs within the region for the first time, leveraging a multi-network purchasing strategy that will enable the MTFs within the HCD-W AOR to acquire clinical chemistry analyzer equipment and supplies in a cost effective and efficient manner that provides the following specific benefits:

- a) **Cost savings:** Consolidating the clinical chemistry analyzer requirements of twenty-four (24) MTFs from twenty-one (21) separate contract actions into two (2) to three (3) delivery orders is anticipated to lead to substantial volume discounts and significantly more competitive pricing. Additionally, the consolidated delivery orders will utilize a “reagent rental” approach under a cost per reportable result (CPRR) pricing arrangement. This approach allows the Government to capitalize on its buying power based on the volumes of reagents and consumables purchased. Instead of having to purchase the analyzer equipment outright, the analyzer equipment, maintenance, and other related services are included at no additional cost as part of the CPRR pricing. In March 2026, a lease vs. purchase analysis was conducted by the Government and concluded that the CPRR approach is the most cost-effective way to acquire and maintain up-to-date analyzer technology.
- b) **Quality improvements that will save time and improve performance and efficiency:** Using a consistent type of analyzer across multiple MTFs will provide standardization that is expected to significantly simplify training, maintenance, and quality control. Minimizing training time and reducing the risk of operator error will directly improve performance and reliability across MTFs, where the accuracy, precision, and uptime of the analyzers are critical for patient care.

- c) **Reduction in acquisition cycle times:** The planned consolidation award timeline for the clinical chemistry analyzer delivery orders is no later than the end of fiscal year (FY) 2026. Consolidating the clinical chemistry analyzer requirements of twenty-four (24) MTFs from twenty-one (21) separate contract actions into two (2) to three (3) delivery orders will considerably streamline the procurement process and significantly reduce administrative burden for the customers, contracting offices, and vendors. The proposed consolidated delivery orders under the VA FSS will have a total delivery period of up to seven (7) years to provide ample time to cover automation transition and non-automation equipment deployment for new analyzers, which can take up to 12-24 months. The consolidated delivery orders will be awarded with a 12-month base delivery period and up to six (6) 12-month option delivery periods, which will absorb the twenty-one (21) existing contract actions as each one expires or does not exercise an option.

4. Citation of the appropriate statute and/or regulation upon which the D&F is based: In accordance with Revolutionary Federal Acquisition Regulation (FAR) Overhaul (RFO) 7.107, consolidation may provide substantial benefits to the Government. However, because of the potential impact on small business participation, before conducting an acquisition that is a consolidation of requirements with an estimated total dollar value exceeding \$2 million, the senior procurement executive (SPE) or chief acquisition officer (CAO) is required to make a written determination that the consolidation is necessary and justified in accordance with 15 U.S.C. § 657q.

5. Market Research: The Government conducted extensive market research (Enclosure 1) to determine the best strategy to meet mission requirements. Market research, in accordance with RFO Part 10, included the following techniques:

a. **Review of historical acquisition information and current strategic contracts:** HCD-W began by reviewing recent market research results for similar and/or identical supplies and services, as well as reviewing current contracts to determine if small businesses are currently providing clinical chemistry analyzers for MTFs within the HCD-W AOR. Based on that review and the spending analysis of FY2019-FY2025 contract data, there are no small businesses performing on any of the clinical chemistry analyzer contract actions covering the MTFs within the AOR.

b. **Conducting meetings with industry:** In December 2025 and January 2026, HCD-W conducted meetings with the ten (10) FSS holders listed below under VA FSS 66-III, Category 605-1A for clinical chemistry analyzers.

Clinical Analyzer Category	Description	FSS Contract Holder	Socio-Economic Indicator
Clinical Chemistry Analyzers 605-1A	High Maintenance/ Complexity Analyzers	Abbott Laboratories, Inc. Beckman Coulter, Inc. Biopool Us, Inc. Garrison Walker Group, Inc. QuidelOrtho Sales Company, LLC Roche Diagnostics Corporation Siemens Healthcare Diagnostics Tosoh Bioscience, Inc. U.S. Arkray Inc. Werfen USA, LLC	Large Large Small Small Large Large Large Large Large Large

The feedback received from industry clearly indicated that the chemistry analyzer is considered the most complex and essential instrument in a clinical laboratory due to its high-volume, automated nature and ability to perform a vast, diverse, and highly accurate range of tests simultaneously. As a result of these meetings, it was apparent that only large businesses can fulfill the Government's requirements.

c. Contacting clients, requirement generators, and subject matter experts in the Government regarding the commercial nature of the requirements and standard industry practices in this area of supply and services.

d. Publication of a formal request for information (RFI): On January 23, 2026, RFI 1793629 was posted in GSA eBuy for the HCD-W chemistry analyzer requirements, which included a draft statement of work (SOW) for each chemistry analyzer type (i.e., dry chemistry, wet chemistry with automation, and wet chemistry without automation) with site-specific details. Additionally, all questions received in response to the RFI, along with the Government's responses, were subsequently posted to GSA eBuy. Out of the ten (10) FSS holders under VA FSS 66-III, Category 605-1A, only five (5) responded. Through a review of the individual business registrations on SAM.gov, the five (5) respondents have been validated as other than small businesses under North American Industry Classification System (NAICS) code 334516 (Analytical Lab Instrument Manufacturing) with a size standard of 1,000 employees. No responses were received from the two (2) small business FSS holders.

e. Consideration of mandatory sources: Unicor and the AbilityOne Program were reviewed, and no results were found for the necessary reagents, consumables, maintenance, and other related services for clinical chemistry analyzers. The Defense Logistics Agency's Electronic Catalog (ECAT) System was also searched. While some chemistry analyzers and consumable supplies are available in ECAT, the required technical and annual maintenance support services of the equipment are not available in ECAT. Therefore, sourcing the equipment through ECAT would require the Government to purchase the equipment (vice lease of the equipment), and a separate maintenance contract would be required for the purchased equipment. Due to the life expectancy of chemistry analyzers being between 5-7 years, it would not be cost effective for the Government to purchase the analyzer equipment outright.

f. Consideration of existing government-wide contracts: In accordance with RFO 8.104, the VA FSS 66-III contracts for clinical chemistry analyzers provides a viable contracting vehicle in lieu of developing a new solicitation. The available FSS supports the Government's requirements using NAICS code 334516 and Product and Service Code (PSC) 6630 (Chemical Analysis Instruments).

6. Alternative Contracting Approach: HCD-W reviewed several strategic contracts to gain an understanding of opportunities for improvement to determine best practices in delivering clinical chemistry analyzers, reagents, and consumables to MTFs within the HCD-W AOR.

The data shows the following:

The current/in-place contract actions are all commercial contracts, which provides evidence that the requirements are available in the commercial marketplace.

None of the current/in-place contract actions were set aside for small business.

Combining requirements for HCD-W will enable standardization of requirements, modification processes to reduce variation, improve customer service, and reduce costs. Based on the HCD-W consolidated delivery order for clinical hematology analyzers (HT941025FE030) awarded in September 2025, the Government garnered a savings of over 30% through consolidation over the five-year life of the task order and significantly reduced contract administration by streamlining the SOW and invoicing.

Developing consolidated delivery orders will allow the Government to establish high-level objectives with specific standards and work through interoperability issues across MTFs as necessary to standardize requirements. This level of development is not possible with a lesser degree of consolidation.

The following alternatives were considered:

Status Quo (continuing with disparate, stand-alone contracts): This approach prevents any meaningful standardization of requirements, clinical processes, or business practices. It fails to leverage the Government's buying power and perpetuates the administrative inefficiencies that currently burden the MTFs and contracting staff.

Multiple-Award IDIQ: While a multiple-award contract is a standard consolidation tool, market research indicates it is counterproductive. Competing delivery orders would recreate the same administrative burden as the current stand-alone contract actions.

Consolidated Single-Award Delivery Orders under VA FSS: This is the optimal solution and establishes the correct balance by consolidating requirements into logical segmented delivery orders that recognize the differences in MTF volumes and ranges of testing while still leveraging the Government's buying power across MTFs. This structure provides three (3) key advantages not offered by the alternatives:

- **Incentivizes Contractor Investment - Guarantees a significant volume of work**, making it viable for the contractor to invest in the personnel and processes needed to navigate the burdensome, Government-mandated requirements. Under each individual contract, a contractor might hesitate to build this capability without a guarantee of winning follow-on contracts, exercising options, etc. The consolidated model ensures our partners are capitalized and prepared to navigate these complexities from the outset, directly supporting faster and more reliable delivery of the clinical chemistry analyzers, reagents, consumables, maintenance, and other related services. This streamlines the contractor's administrative burden and ensures our chosen contractor is fully invested in the mission's success.
- **Enables Strategic Management and Reduces Overhead - Consolidating requirements into two (2) to three (3) delivery orders** allows DHA to standardize requirements, ensuring a higher level of service and technical competence. Additionally, DHA will gain cost efficiencies and implement best practices across the HCD-W AOR – benefits that are impossible to achieve with a lesser degree of consolidation.
- **The consolidated delivery order model directly reduces the significant Government overhead** required to manage multiple contracts. By centralizing these responsibilities with two (2) to three (3) contractors, the contracting team can shift focus from administrative compliance to actively managing delivery and ensuring mission outcomes. This directly supports the strategic objective of uninterrupted, high-quality continuity of care – which is the ultimate measure of success.

7. Small Business Consideration/Coordination: The Government does not expect to receive any quotes from small businesses that can support the clinical chemistry analyzer requirements of the MTFs within the HCD-W AOR. The DHA Director of the Office of Small Business Programs (OSBP) concurred with the DD Form 2579 (Small Business Coordination Record) Control No. SB2026-WM0106 for the consolidation of the wet chemistry analyzer requirements on April 20, 2026, and the Small Business Administration (SBA) Procurement Center Representative (PCR) concurred with the 2579 on April 20, 2026. A separate DD2579 will be prepared for the consolidated dry chemistry analyzer requirements and will also require concurrence from the DHA OSBP and SBA PCR.

8. Impact of Acquisition Strategy on Small Business: This acquisition will be conducted utilizing the FSS ordering procedures in accordance with RFO Part 8. Based on this strategy, there is no anticipated impact on small business concerns. A review of Federal contract award records at SAM.gov shows that neither of the two (2) current small business FSS 66-III holders under category 605-1A have been awarded a delivery order under the FSS. Additionally, no small businesses responded to the RFI posted on GSA eBuy.

DETERMINATION

Based on the findings above, I hereby determine that the proposed consolidation of the chemistry analyzer requirements for the MTFs within the HCD-W AOR is necessary and justified in accordance with RFO 7.107 and 15 U.S.C. § 657q. The benefits of the consolidation of contract requirements substantially exceed the benefits that would be derived from the identified alternative contracting approaches.

An expiration date is not applicable as this determination and findings is not for a class of contracts.



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Enclosures:

- (1) Approved Market Research Report for Wet Chemistry Analyzers within the HCD-W AOR
- (2) Approved DD 2579 for Wet Chemistry Analyzers within the HCD-W AOR